Compensation Report

Compensation Report

This Compensation Report outlines the principles for determining the compensation for the members of the Board of Management and the Supervisory Board of Covestro AG and explains the compensation of the individual members. The Report was prepared by the Board of Management and the Supervisory Board in accordance with the requirements of section 162 of the German Stock Corporation Act (AktG) and complies with the recommendations of the German Corporate Governance Code (GCGC) as amended on April 28, 2022. Relevant information is published on Covestro's website. Moreover, in terms of content and structure, the report is based on the Compensation Report for the year 2024, which was approved by the Annual General Meeting (AGM) on April 17, 2025 with a majority of 93.20%.

→ Additional information on the details of the compensation system, the report on the audit of the compensation report, and the resolution of the Annual General Meeting approving the compensation system is available at: www.covestro.com/en/company/management/corporate-governance

The compensation system for the Board of Management members was approved by the AGM on April 17, 2025, with a majority of 93.09%; it is available on the company's website.

→ For further information, please refer to: www.covestro.com/en/company/management/corporate-governance

Compensation of the Board of Management

The following section reports the compensation of the Board of Management of Covestro AG for fiscal 2025. The members of the Board of Management of Covestro AG are the same as the members of the Board of Management of Covestro Deutschland AG, which is a wholly owned subsidiary of Covestro AG. Compensation is not paid for the members' work on the Board of Management of Covestro Deutschland AG.

Guiding Principles for Compensation

The compensation system for the Board of Management of Covestro AG is based on the corporate strategy and designed to facilitate a long-term increase in the company's value and responsible corporate governance. We aim to position Covestro as an attractive employer in the competition for highly qualified executives and, at the same time, ensure statutory and regulatory compliance. Board of Management compensation is in line with the basic principles of the Covestro Group's compensation structure, which is standardized for all Covestro employees in line with our "We are 1" corporate culture:

- The variable compensation of the Board of Management and all participating employees is based on a uniform system and identical criteria.
- Differences exist only in the target percentages related to fixed compensation.

The variable compensation is based on Covestro's corporate performance, which is measured based on financial and sustainability targets:

- The system and criteria for short-term variable compensation are closely aligned to Covestro's annual performance.
- The system and the criteria are agreed upon and binding for a three-year period. The Covestro Profit Sharing Plan (Covestro PSP) is a bonus system based in equal parts on the company's average expected performance and the agreed financial target for the respective fiscal year. The targets set for the Covestro PSP are aimed at enabling an average payout level of 100% to be achieved over a period of up to 10 years.
- In very successful years, high payout percentages are achieved (such as 239.5% for fiscal 2021), while in challenging years they are significantly lower, or no short-term variable compensation is paid at all (such as for fiscal 2025).
- The Prisma share-based compensation program for long-term variable compensation is based on Covestro value added (CVA), a key financial performance indicator that measures whether the company generates a return in excess of the capital charge. Prisma also includes a sustainability component.

The determination of variable compensation is simple, transparent, and based on objective criteria:

- The relation between target attainment and payout has been defined for the criteria used and documented in the Compensation Report.
- The payout is calculated on the basis of financial criteria and sustainability targets that are also included in the company's Management Report; the calculation is also documented in the Compensation Report.

Compensation system and structure at a glance

	In % of total direct compensation[1] (figures in % rounded)	Target compensation in € thousand	Modifiers / target compensation	Further components
~ 30% fixed	**~ 30% Fixed annual compensation[2]**	CEO[3]: 1,315 OBM[3]: 662 – 862	Fixed	Fringe benefits
~ 70% variable	**~ 30 % Covestro PSP**	CEO: 1,328 OBM: 669 – 871	[EBITDA (2025-2027 average) 0 – 300% (1/4) + ROCE above WACC 0 – 300% (1/4) + FOCF 0 – 300% (1/4) + ESG criteria 0 – 300% (1/4)] max. 250% (50%) + [EBITDA (fiscal year) 0 – 300%] max. 200% (50%)	Malus (100%) Clawback (up to 3 years)
	~ 40% Prisma	CEO: 1,685 OBM: 849 – 1,105	CVA Factor (Covestro Value Added) (70%) + CO_2 Factor (Emission Reduction) (10%) + Patricipation Factor (Employee Survey) (10%) + RIR Factor (Recordable Incident Rate) (10%) **Cap: 250%**	
	100%[1]	CEO: 4,327 OBM: 2,180 – 2,838	Severance cap: 2 times annual compensation	Share ownership guidelines: no longer applicable due to acquisition by XRG
	Pension benefits[4]	CEO: 361 OBM: 207 – 279	Defined Benefit Plan with fixed contributions (company pension): 8 – 10% of total direct compensation[1]	
	Total target compensation[5]	CEO: 4,688 OBM: 2,387 – 3,117	Max. compensation limit (incl. fringe benefits and pension): €9,000 thousand (CEO); €5,500 thousand (OBM)	

[1] Fixed compensation plus variable target values.
[2] Excluding fringe benefits.
[3] Chief Executive Officer (CEO), ordinary Board of Management member (OBM).
[4] Expected pension service cost (IFRSs).
[5] Fixed compensation plus variable target values and post-employment benefits.

Basic Principles for Determining Compensation

Determining Target Compensation

The Supervisory Board determines the total target compensation for the upcoming fiscal year for each Board of Management member in accordance with the compensation system. This compensation is appropriate in view of the Board of Management member’s duties and takes into account Covestro’s financial situation, performance, and future prospects.

The fixed compensation of Board of Management members was raised by 2.5% as of June 1, 2025. The Supervisory Board’s decision on both the amount and the date was based on the regulations for the workforce in Germany: The budget corresponded to that applied to the salary round for employees in Germany not subject to collective bargaining agreements, and the date was postponed to June 1, as was the case for the pay increases for payscale and non-payscale employees, which was implemented two months later than originally planned (April 1) due to the economic situation. The target compensation of individual Board of Management members based on the compensation system in effect is outlined below.

Total target compensation of current Board of Management members[1]

	Dr. Markus Steilemann (Chair)				Christian Baier (Finance)				Monique Buch[4] (Sales and Marketing) since June 1, 2025				Dr. Thorsten Dreier (Technology and Labor Director)			
	2024		2025		2024		2025		2024		2025		2024		2025	
	€ thousand	%	€ thousand	%	€ thousand	%	€ thousand	%	€ thousand	%	€ thousand	%	€ thousand	%	€ thousand	%
Fixed annual compensation	1,296	27.5	1,315	27.9	850	25.9	862	26.8	–		669	25.6	653	25.5	662	25.2
Fringe benefits[2]	30	0.6	30	0.6	200	6.1	100	3.1	–		200	7.6	200	7.8	240	9.1
Total	1,326	28.2	1,345	28.5	1,050	32.0	962	29.9	–		869	33.2	853	33.3	902	34.3
Short-term variable compensation																
for fiscal 2024	1,296	27.5			850	25.9			–				653	25.5		
for fiscal 2025			1,328	28.1			871	27.1			669	25.6			669	25.5
Long-term variable compensation																
2024–2027 Prisma tranche	1,685	35.8			1,105	33.7			–				849	33.2		
2025–2028 Prisma tranche			1,685	35.7			1,105	34.3			870	33.2			849	32.3
Pension expense[3]	403	8.6	361	7.7	276	8.4	279	8.7	–		209	8.0	205	8.0	207	7.9
Total target compensation	4,710	100.0	4,718	100.0	3,281	100.0	3,217	100.0	–		2,617	100.0	2,560	100.0	2,627	100.0

1 Due to rounding, percentages may not always add up to exactly 100%.

2 Included: Annual mobility allowance of €24 thousand, if still contractually agreed, and costs that are usually to be expected (e.g., for installation of security systems where this has not happened already and/or maintenance and repair of equipment already installed).

3 Expected pension service cost (employer portion) under IFRSs.

4 To make comparison easier, the compensation components for the year 2025 were extrapolated to a full year.

Total target compensation of Board of Management members who left the company in the course of the year[1]

	Sucheta Govil[4] until July 31, 2024			
	2024		2025	
	€ thousand	%	€ thousand	%
Fixed annual compensation	653	27.3	662	27.6
Fringe benefits[2]	30	1.3	30	1.3
Total	683	28.6	692	28.9
Short-term variable compensation				
for fiscal 2024	653	27.3		
for fiscal 2025			653	27.2
Long-term variable compensation				
2024–2027 Prisma tranche	849	35.5		
2025–2028 Prisma tranche			849	35.4
Pension expense[3]	205	8.6	204	8.5
Total target compensation	2,390	100.0	2,398	100.0

1 Due to rounding, percentages may not always add up to exactly 100%.
2 Included: Annual mobility allowance of €24 thousand and costs that are usually to be expected (e.g., for maintenance and repair of security systems installed).
3 Expected pension service cost (employer portion) under IFRSs.
4 To make comparison easier, the compensation components for the year 2025 were extrapolated to a full year.

Maximum Compensation

Pursuant to Section 87a, Paragraph 1, Sentence 2, No. 1 of the German Stock Corporation Act (AktG), the Supervisory Board stipulated maximum total compensation for the Board of Management members for the first time for fiscal 2021. The absolute amount in euros for the maximum possible payout includes fixed compensation, fringe benefits (e.g., mobility allowance, payments toward the cost of security equipment, etc.), capped variable compensation components, and pension expenses. As a result, the maximum total compensation for a full fiscal year for the Chair of the Board of Management amounts to €9.0 million, while this amount for the regular Board of Management members is €5.5 million.

Compliance with this maximum compensation is reviewed retrospectively for the 2022 reporting year, as the 2022–2025 tranche of Prisma long-term variable compensation will have been earned in full as of the end of fiscal 2025. This review is presented in “Compliance with Maximum Compensation Limit.”

Review of Appropriateness

The Supervisory Board commissioned an expert opinion from an independent third-party consultant firm to ensure the compensation is appropriate compared to other companies. Since on the basis of relevant KPIs (sales, employees, and market capitalization), Covestro is positioned in the bottom quartile of DAX-listed companies and was part of the MDAX prior to its inclusion in the DAX, the entire group of DAX and MDAX companies was used as the peer group, and this is still considered appropriate despite the company’s exit from the DAX. Banks and insurance companies were, however, excluded because of their limited comparability. Based on these equally weighted KPIs, Covestro ranks 39th (out of 83), or in the 54th percentile of this group. The following Board of Management compensation components were compared with the market value for each, i.e., the compensation of board of management members in the peer group:

- Fixed annual compensation
- Target cash compensation = Fixed annual compensation + Target value for short-term variable compensation
- Target direct compensation = Target cash compensation + Target value for long-term variable compensation
- Total target compensation = Target direct compensation + Company pension plan

The costs of the company pension plan were determined by using actuarial methods to calculate a company pension plan premium. This premium indicates the amount that would have to be paid to a third-party pension provider to purchase the relevant pension benefits. Using the same parameters for the calculation, the premium amount, and therefore the costs, can be compared to the pension benefits of the board of management members of other companies.

Based on the expert opinion, the target and maximum compensation of the Board of Management was deemed appropriate within the meaning of the AktG.

Furthermore, the Supervisory Board reviewed the company’s compensation structure and, for this purpose, compared the fixed annual compensation, target cash compensation, and target direct compensation of the Board of Management members with the corresponding compensation components of the Executive Leadership Team (executives at the two highest contract levels below of the Board of Management) and the workforce as a whole (employees subject and not subject to collective bargaining agreements, including the Executive Leadership Team) at Covestro in Germany. The internal compensation structure was also determined to be appropriate in view of this comparison, which covered the period from the year 2015 to the year 2025. No adjustments were therefore made to the compensation structure or amount of compensation.

Application of the Compensation System in the Reporting Period

The application of the compensation system in fiscal 2025 is presented below.

Non-Performance-Related Components

Fixed Annual Compensation, Fringe Benefits

The adjustment to fixed annual compensation as of June 1 of the fiscal year is described above in “Determining Target Compensation.” Fringe benefits comprise maintenance and repair of security systems installed, use of the company car pool, and – for Board of Management members appointed before 2023 – a mobility allowance. Sucheta Govil additionally received reimbursement of the cost of tax preparation by an external consulting firm. Fringe benefits are reported at cost or the amount of the taxable benefit gained.

Post-Employment Benefits

Dr. Markus Steilemann will receive a lifelong company pension after leaving the Covestro Group, though not before the age of 62. These pension payments will be made monthly. The arrangements for surviving dependents basically provide for a widow’s/widower’s pension amounting to 60% of the member’s pension entitlement, and an orphan’s pension amounting to 12% of the member’s pension entitlement for each child.

The annual pension entitlement is based on defined contributions. From September 1, 2015, onward, Covestro has provided a hypothetical benefit amounting to 33% of the respective fixed compensation beyond the relevant income threshold in the statutory pension plan. This percentage comprises a 6% basic contribution and an additional amount of three times the personal contribution chosen by the Board of Management member. This contribution is limited to a maximum of 9% so that the matching contribution by the company can be no higher than 27%. The total annual contribution is converted into a pension module according to the annuity table for the applicable tariff of the Rheinische

Pensionskasse VVaG, Leverkusen (Germany), pension fund. The annual pension entitlement upon retirement is the total amount of the accumulated pension modules, including an investment bonus.

The actual pension entitlement cannot be precisely determined in advance. It depends on the development of the member's compensation, the number of years of service on the Board of Management, and the return on the assets contributed to the Rheinische Pensionskasse VVaG. Certain assets are administered under a pension trust, providing additional insolvency protection for pension entitlements resulting from direct commitments for the members of the Board of Management in Germany. As a rule, future pension payments are adjusted by at least 1% per year. Depending on the pension obligation, an additional adjustment may be made if the investment bonus of the Rheinische Pensionskasse VVaG or the consumer price index exceeds 1% per year.

Post-employment benefits for other Board of Management members are granted under a defined contribution plan. Covestro and the Board of Management members will each contribute 3% of their fixed annual compensation up to the social security contribution ceiling to a statutory pension plan. For the portion of compensation exceeding the contribution ceiling, Covestro will provide a basic contribution of 6% and a match of up to 30%, three times the Board of Management member's own contribution of up to 10%. Covestro invests the capital contributed on the capital market according to an age-based lifecycle model. The contributions made are guaranteed. On leaving the Board of Management, but not before the age of 62, the accumulated capital is paid out to the Board member, normally as a one-time payment. Sucheta Govil switched her company pension to this model, which was newly introduced in the year 2021, as of April 1, 2021. The aforementioned pension arrangement, which continues to apply for Dr. Markus Steilemann, applied to her for the period from the date she joined Covestro on August 1, 2019 until March 31, 2021.

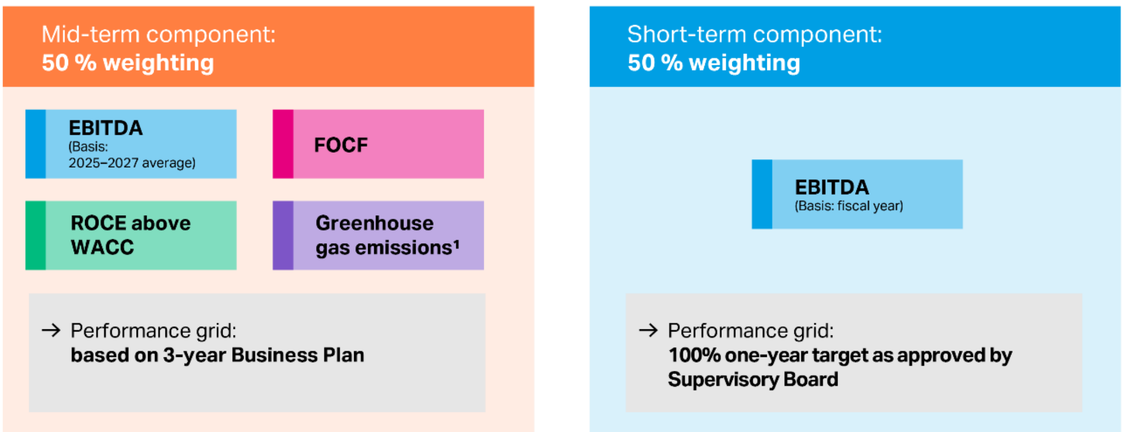
Short-Term Variable Compensation

The target value of the short-term variable compensation is currently 100% of the fixed annual compensation. The award is based on the four criteria of profitable growth, liquidity, profitability, and sustainability, which are used as part of Covestro's management system to plan, manage, control, and report on business performance. This means that short-term variable compensation is directly linked to the Covestro Group's success.

These performance indicators are applied to the Group-wide short-term Covestro Profit Sharing Plan (Covestro PSP). The Covestro PSP was introduced in fiscal 2016 and is applicable to all of Covestro's employees worldwide (with a few exceptions due to stipulations in collective bargaining agreements). Board of Management members also currently participate in the Covestro PSP.

The Covestro Profit Sharing Plan (Covestro PSP) has been expanded, effective from fiscal 2025. In addition to the four performance metrics already used, for which the targets are derived from the medium-term planning for the years 2025 to 2027, a short-term component has been defined. This is based on the EBITDA target of a single fiscal year and is specified for the subsequent year by the Supervisory Board on the basis of the forecast made in the fourth quarter. For the purpose of calculating the total payout, the medium- and short-term components are each weighted at 50%.

PSP 2025–2027



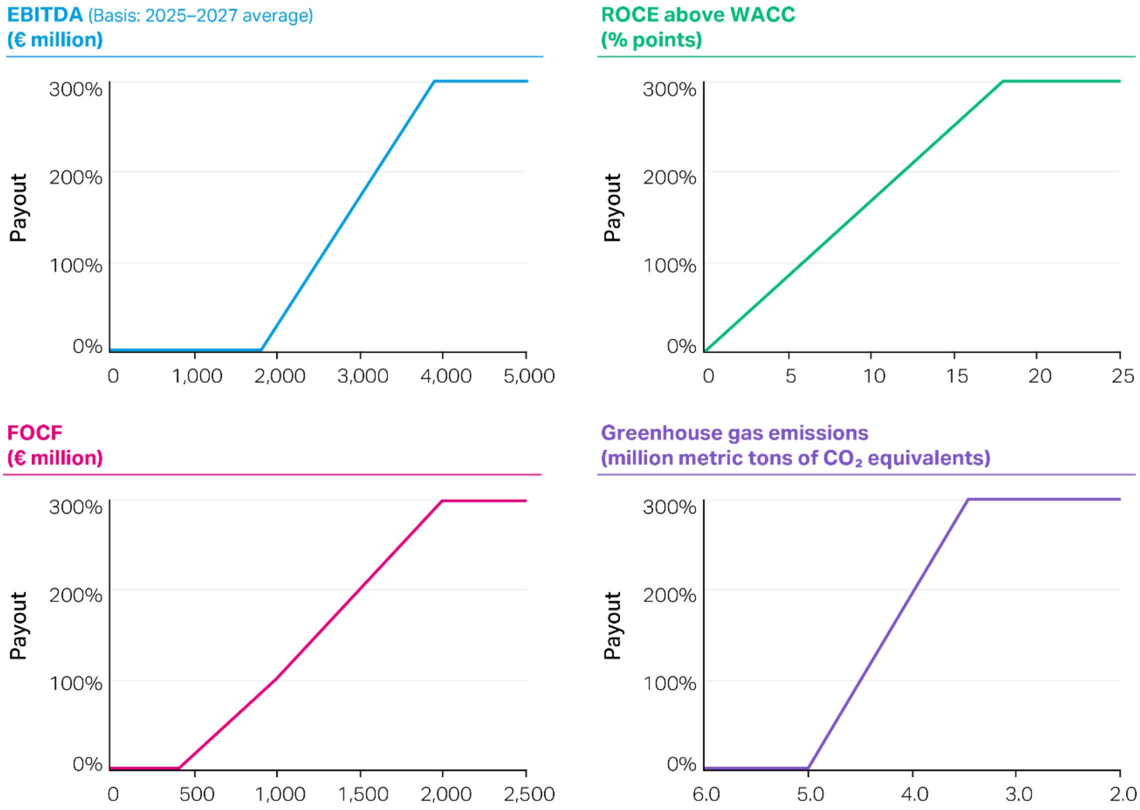
[1] Direct and indirect GHG emissions (Scope 1 and Scope 2), measured in terms of CO_2 equivalents, of the environmentally relevant sites.

The four components are taken into account for the medium-term component on an equally weighted basis: Profitable growth measured in terms of EBITDA (earnings before interest, taxes, depreciation and amortization), liquidity measured in terms of free operating cash flow (FOCF), profitability measured in terms of return on capital employed (ROCE) above the weighted average cost of capital (WACC), and sustainability measured in terms of selected environmental, social, and governance (ESG) criteria. Since the year 2025, the sustainability component has been determined by direct and indirect Scope 1 and Scope 2 greenhouse gas (GHG) emissions (CO_2 equivalents, CO_2e) of all environmentally relevant sites.

→ Information on the definition and calculation of these indicators is available in the "Key Management Indicators" section of the Combined Management Report.

In fiscal 2024, the Supervisory Board defined the global values for the threshold, 100% payout, and the maximum amount for each performance indicator, which are applied for a multi-year period from the year 2025 to the year 2027. Between these values, linear interpolation is used to determine the payout from the medium-term component. There will be no adjustment after the fact.

Relation between payout of mid-term component and profitable growth (EBITDA), liquidity (FOCF), profitability (ROCE above WACC), and sustainability (greenhouse gas emissions)



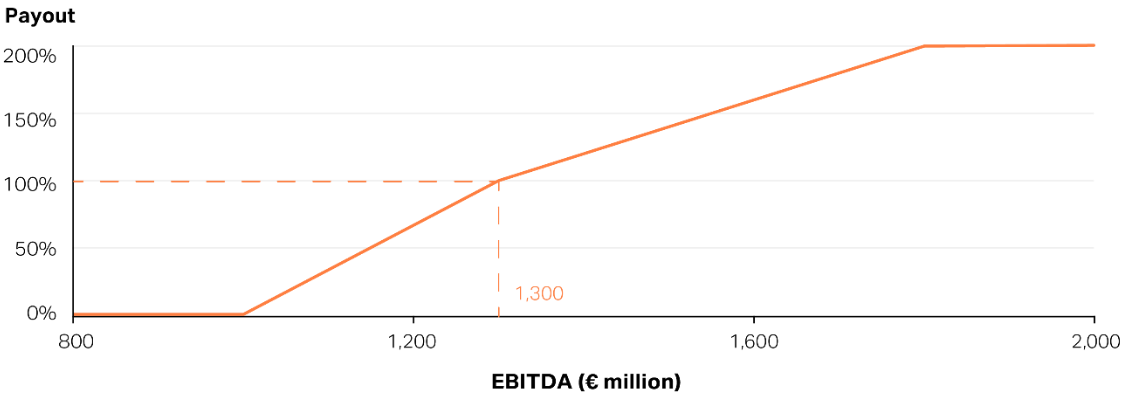
For each individual performance indicator, the payout can be between 0% (failure to meet minimum requirements) and 300%. The total payout from the medium-term component is the arithmetic mean of the individual payouts for all four components. However, it is limited to 250% of the target value. This means that, if the cost of capital is not earned in a given fiscal year (ROCE above WACC < 0), no payout is made at all from the medium-term component, irrespective of the results achieved for the other metrics.

Components of the Covestro Profit Sharing Plan 2025–2027

	Profitable growth: EBITDA	Liquidity: FOCF	Profitability: ROCE above WACC	Sustainability: GHG emissions
Threshold (0%)	€1,800 million	Cash inflow of €400 million	0%-points	5.0 million metric tons of CO_2 equivalents
100% target attainment	€2,500 million	Cash inflow of €1,000 million	6%-points	4.5 million metric tons of CO_2 equivalents
Ceiling (300%)	€3,900 million	Cash inflow of €2,000 million	18%-points	3.5 million metric tons of CO_2 equivalents

An EBITDA target of €1,300 million has been specified for the short-term component for fiscal 2025. The minimum amount to be reached for a payout is €1,000 million, while the payout is limited to 200% for EBITDA of €1,800 million or more. Between these values, linear interpolation is used to determine the payout from the short-term component.

Short-term component of Covestro Profit Sharing Plan for fiscal 2025



The thresholds of the three financial indicators for the medium-term component were missed in the 2025 reporting year. On the basis of the value achieved for GHG emissions (4.3 million metric tons of CO_2 equivalents), a payout percentage of 140% would have been calculated for this component. Since the capital costs were not earned in the reporting year (ROCE above WACC < 0), the plan terms and conditions stipulate that no payout will be made from the medium-term component.

Theoretical payout for the medium-term component of the Covestro Profit Sharing Plan for the year 2025

	Profitable growth: EBITDA	Liquidity: FOCF	Profitability: ROCE above WACC	Sustainability: GHG emissions
Achieved value	€740 million	Cash outflow of €283 million	–10.2%-points	4.3 million metric tons of CO_2 equivalents
Calculated payout	0.0%	0.0%	0.0%	140.0%

Since the EBITDA threshold of €1,000 million for the short-term component was not achieved either in the reporting year, no payout will result from this component so that the Board of Management and employees will not receive any short-term variable compensation for the year 2025.

Long-Term Variable Compensation

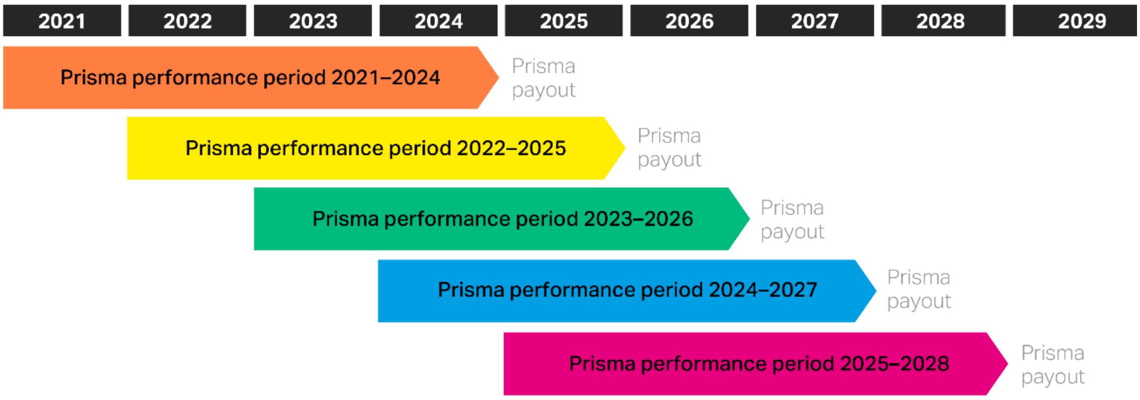
Up to and including the 2024–2027 tranche, the Prisma share-based compensation program for long-term variable compensation (long-term incentive, LTI) took into account the performance of Covestro shares, including dividends (total shareholder return) and outperformance against the STOXX Europe 600 Chemicals index* over a period of four years. As from fiscal 2024, the sustainability component, which has included a CO_2 factor since its inception and has been part of the LTI plan since the year 2021, was expanded by adding two metrics from the ESG "Social" aspect. Against the backdrop of the voluntary public takeover offer by ADNOC International Germany Holding AG, Munich (Germany), the share price, and therefore also total shareholder return and outperformance, no longer seemed suitable metrics for long-term compensation. For this reason, the share-based portion of long-term compensation was replaced by economic value added as a metric from 2025 onward. The sustainability component with its three parts (GHG emissions, participation rate, and recordable incident rate) will be retained unchanged.

The long-term variable compensation is geared toward the sustained, future-oriented, and continuous growth of the company's value and guarantees the implementation of Covestro's Sustainable Future corporate strategy, particularly since the introduction of the sustainability component. Prisma is applicable to both members of the Board of Management and to Covestro executives. The LTI target value amounts to 130% of fixed annual compensation for members of the Board of Management.

* STOXX Europe 600 Chemicals: Sector index by index issuer STOXX; the STOXX Europe 600 comprises 600 European companies.

A new Prisma tranche with a four-year performance period is issued for each fiscal year. Prior to the beginning of this performance period, the Supervisory Board stipulates the performance criteria for the financial and sustainability metrics as well as the relative weighting of these criteria.

Prisma performance periods



Various factors are calculated to determine the payout; their values are based on target attainments for the respective metrics: the TSR factor and the outperformance factor (before fiscal 2025), the CVA factor (from fiscal 2025 onward) as well as elements of the sustainability component (the CO_2 factor, the participation factor, and the RIR factor). They are explained in detail below.

The TSR factor is the return generated by a share expressed as a percentage (total of the final price of the Covestro share and all dividends distributed per share during the four-year performance period divided by the initial price).

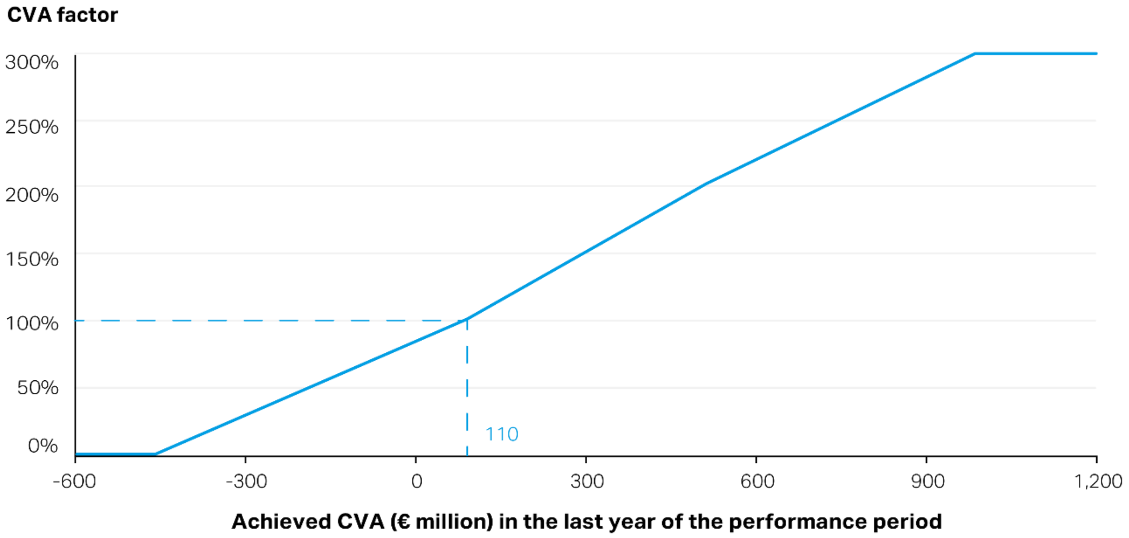
The outperformance factor is based on the performance of Covestro shares during the performance period relative to the performance of the STOXX Europe 600 Chemicals index.

Against the backdrop of the takeover offer, the share price as well as the price change in relation to the STOXX Europe 600 Chemicals index no longer reflect the long-term changes in the company’s value. For this reason, the price of Covestro shares has been fixed at the offer price of €62 and the STOXX Europe 600 Chemicals has been set at the closing level of the 2021–2024 tranche (average of the trading days in November and December 2024).

Covestro value added (CVA) is a key financial performance indicator based on economic value added (EVA). It measures whether the company generates a return in excess of the capital charge. It is calculated by deducting taxes from EBIT to determine operating profit after taxes. Subsequently the capital charge is deducted, which is determined by multiplying the average capital employed (which is the total of current and noncurrent operating assets less non-interest bearing liabilities) by the weighted average cost of capital (WACC).

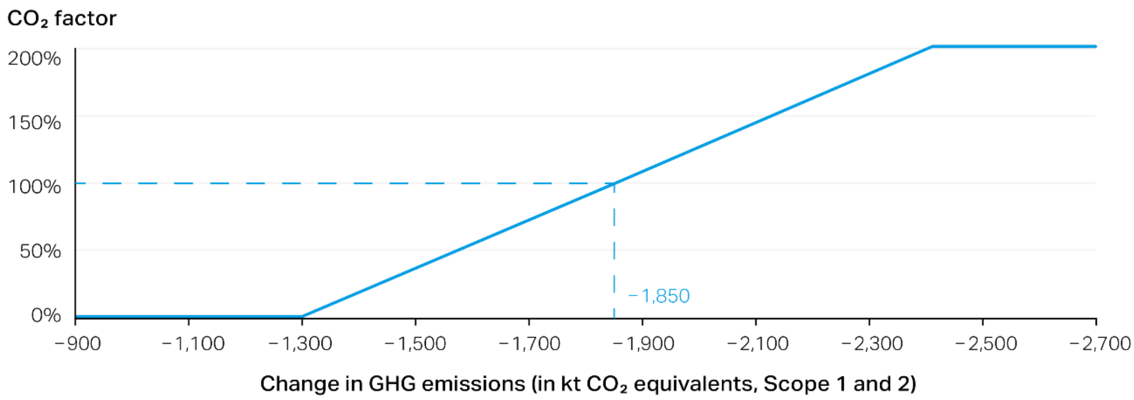
The CVA factor will be 100%, if Covestro generates CVA of €110 million in the year 2028. If CVA of €–440 million or less is generated, the CVA factor is 0%. If CVA is €990 million or more in the year 2028, the factor will reach the maximum of 300%. Between these values, linear interpolation is used to determine the factor.

Relation between CVA and CVA factor



Starting with the tranche issued in fiscal 2025, a reduction target for annual Scope 1 and Scope 2 greenhouse gas (GHG) emissions (CO_2 equivalents) of all environmentally relevant sites will be applied as part of the sustainability component. The CO_2 factor amounts to 100% if these emissions are reduced by 1,850 kilotons (kt) by the end of fiscal 2028 in relation to the baseline year of 2020. This corresponds to an emissions reduction of just over 33%. If the annual emissions are reduced by less than 1,300 kt, the CO_2 factor is 0%. Starting with a reduction of 2,400 kt, it reaches the maximum value of 200%. Between these defined reference values, linear interpolation is used to determine the factor. The Supervisory Board considers the defined reduction targets as significant in relation to the company's actual Scope 1 and Scope 2 emissions.

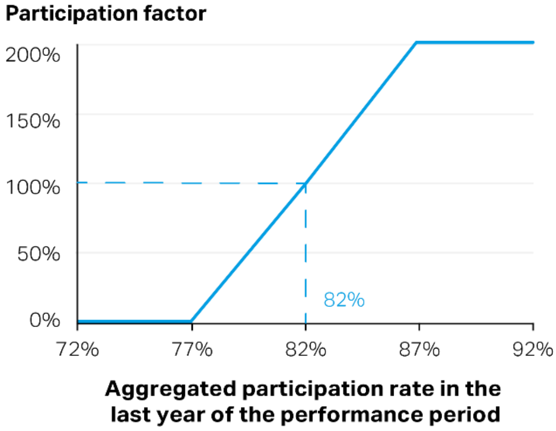
Relation between emissions and CO_2 factor



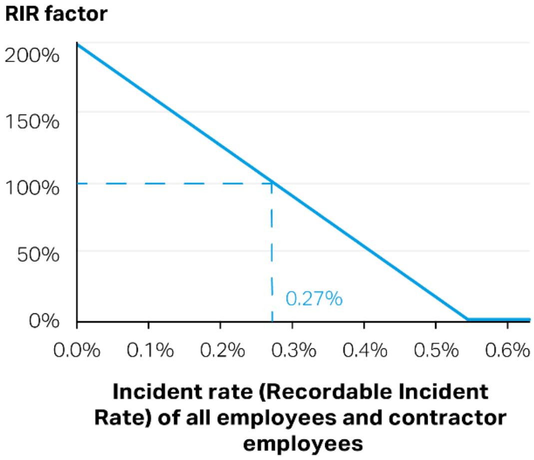
The metric used for the participation factor is the aggregated participation rate of all employees worldwide from all rounds of the employee survey conducted during the last calendar year of the performance period. The aim of including the "Social" aspect in the sustainability component is to create an incentive for senior executives entitled to take part in the long-term incentive program to make the employee survey a regular part of their management activities and to explain to employees how important their feedback and criticism are for us. For the tranche beginning in fiscal 2025, the participation factor is 100%, if an aggregated participation rate of 82% is achieved. If the aggregated participation rate achieved is 77% or less, the participation factor is 0%. For an aggregated participation rate of 87% and higher, it reaches the maximum of 200%. Between these values, linear interpolation is used to determine the factor.

To boost our well developed safety culture even further, another metric under the "Social" aspect that will be used as a basis for assessment is the global recordable incident rate (RIR). The target is an incident rate of 0.27 in the last year of the performance period. This rate measures the number of recordable incidents against the hours worked by all employees and contractor employees of the Covestro Group worldwide. If this target is reached, the RIR factor is 100%. If the recordable incident rate is 0, the factor reaches the maximum value of 200%. For an incident rate of 0.54 or higher, the RIR factor is 0%. Between these values, linear interpolation is used to determine the factor.

Relation between participation rate and participation factor



Relation between incident rate and RIR factor



Components of the 2025–2028 Prisma tranche

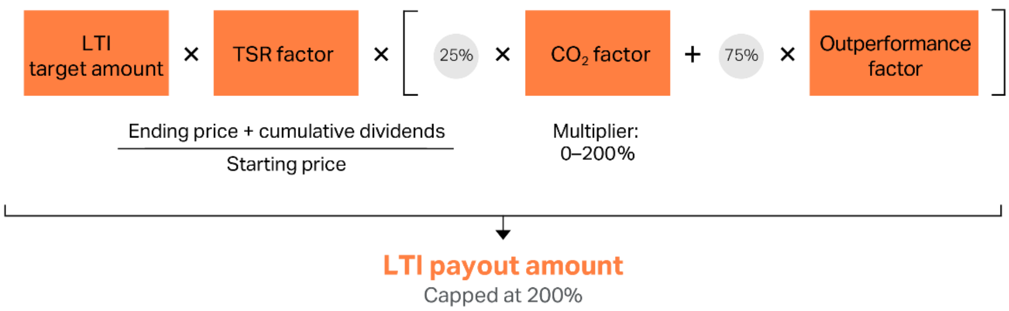
	CVA	Reduction of GHG emissions (Scope 1 & Scope 2) until 2028 year-end	Aggregated participation rate	RIR
Threshold (0%)	€–440 million	–1.300 kt	77%	0.54
100% target attainment	€110 million	–1.850 kt	82%	0.27
Ceiling (200%)[1]	€550 million	–2.400 kt	87%	0
Ceiling (300%)[2]	€990 million	–	–	–

[1] The payouts from the CO_2 factor, the participation factor, and the RIR factor are limited to a maximum of 200%.

[2] The payout from the CVA factor is limited to a maximum of 300%.

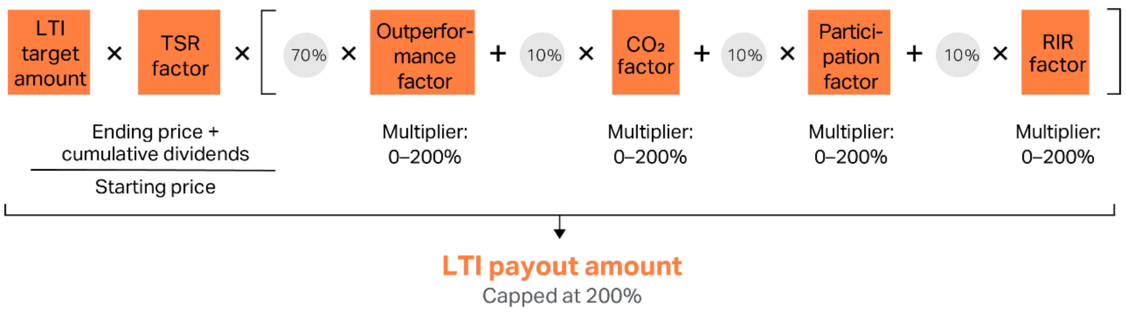
To calculate the total distribution for the tranches beginning before fiscal 2024, which include only the CO_2 factor for the sustainability component, the LTI target opportunity is multiplied by the TSR factor as well as the total of the outperformance factor weighted at 75% and the CO_2 factor weighted at 25%. The total distribution is limited to no more than 200% of the target opportunity.

Components of the long-term variable compensation up to and including the 2023 - 2026 tranche



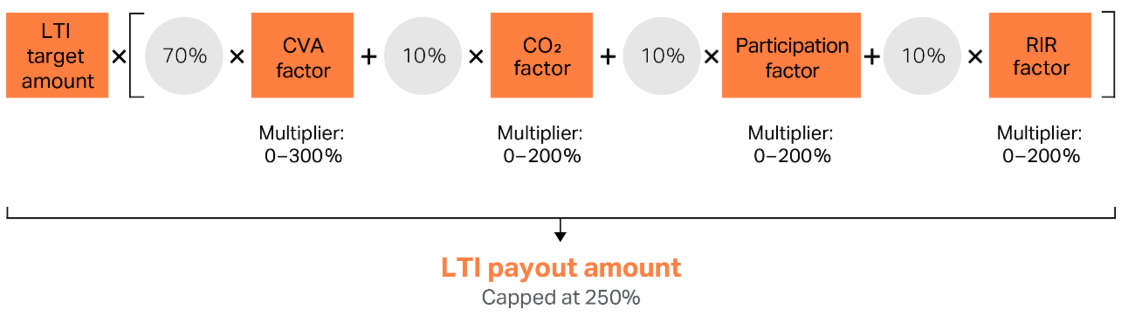
For the tranche beginning in fiscal 2024, the LTI target opportunity is multiplied by the TSR factor as well as by the total of the outperformance factor weighted at 70% and the three sustainability factors (CO_2 factor, participation factor, and RIR factor), each weighted at 10%. This means that the sustainability targets are weighted at 30% in total as compared to outperformance. The total distribution is likewise limited to no more than 200% of the target opportunity.

Components of the long-term variable compensation for 2024–2027 tranche



Starting from the 2025–2028 tranche, there will be no multiplication by the TSR factor so that the total payout will be the total of the CVA factor weighted at 70% and the three sustainability factors (CO_2 factor, participation factor, and RIR factor), each weighted at 10%. This means that the sustainability targets will continue to be weighted at 30% in total as compared to financial performance. The total distribution is limited to no more than 250% of the target opportunity. With the target opportunity being defined as 130% of the fixed compensation, the maximum payout is therefore 325% of the fixed annual compensation.

Components of the long-term variable compensation for 2025–2028 tranche



In summary, the metrics and weightings of the five relevant performance periods – the 2021–2024 tranche paid out at the beginning of the reporting year and the four tranches running as of the reporting date – are as follows:

Weightings of Prisma components across all performance periods

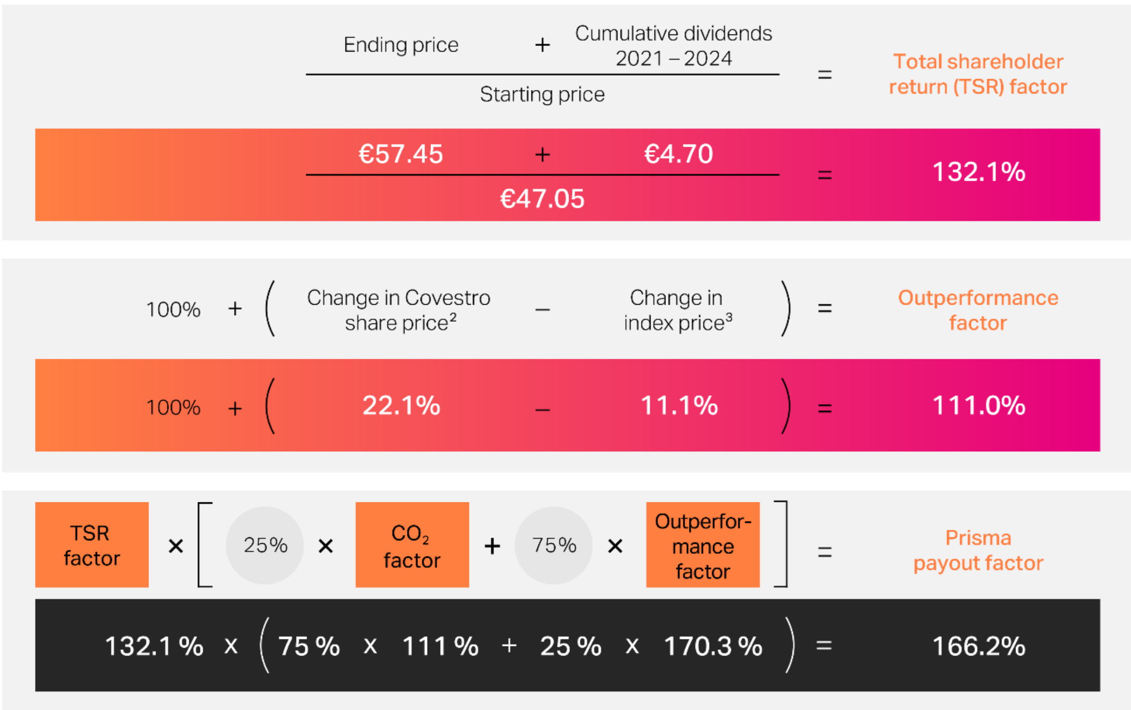
Tranche	TSR	Out-performance	CVA	Reduction of GHG emissions (Scope 1 & Scope 2)	Aggregated participation rate	RIR
2021–2024	Serves as multiplier	75%	–	25%	–	–
2022–2025	Serves as multiplier	75%	–	25%	–	–
2023–2026	Serves as multiplier	75%	–	25%	–	–
2024–2027	Serves as multiplier	70%	–	10%	10%	10%
2025–2028	–	–	70%	10%	10%	10%

2021–2024 and 2022–2025 Prisma Tranche Payouts

In April of the 2025 reporting year, qualifying members of the Board of Management received payouts from the 2021–2024 Prisma tranche. The payout factor amounted to 166.2%. The 2022–2025 Prisma tranche ended on December 31 of the 2025 reporting year with a payout factor of 159.5%. The payouts for Dr. Thorsten Dreier were based on his respective compensation packages prior to becoming a Board of Management member. Christian Baier, who joined the Board of Management in October 2023, proportionately participates in the 2023–2026 Prisma tranche for the first time and Monique Buch, who joined in June 2025, does so in the 2025–2028 tranche; the tranches will be paid out in future years.

The following chart and table illustrate how the aforementioned payout factors are calculated. For the CO_2 factor of the 2021–2024 Prisma tranche, reductions of 150 kilotons per year in relation to the baseline year of 2020 by the end of fiscal 2024 had been set as the target for Scope 1 GHG emissions (CO_2 equivalents). With reductions of 255.4 kilotons achieved, the resulting CO_2 factor is 170.3%, which is to be weighted at 25% in the calculation of the payout. For the 2022–2025 Prisma tranche, a target was set for reducing Scope 1 GHG emissions (CO_2 equivalents) by 400 kilotons per year by the end of 2025. This was exceeded by savings of 469 kilotons, resulting in a CO_2 factor of 146.0%.

Calculation of the 2021 – 2024[1] Prisma tranche



[1] The relevant prices are calculated as the average of the applicable ending prices during the months of November and December in the years 2020 and 2024.
[2] Percentage change in the ending price of Covestro share for the year 2024 (€57.45) as compared with the starting price of Covestro share for the year 2021 (€47.05).

[3] Percentage change in the ending price of the STOXX Europe 600 Chemicals index for the year 2024 (€1,209.19) as compared with the starting price of the STOXX Europe 600 Chemicals index for the year 2020 (€1,088.78).

Calculation of the payout factors for the 2021–2024 and 2022–2025 Prisma tranches

		2021–2024 Prisma tranche	2022–2025 Prisma tranche
Starting price, Covestro	€	47.05[1]	53.53[2]
Ending price, Covestro	€	57.45[3]	62.00[4]
Change	%	22.1	15.8
Starting price, index	€	1,088.78[1]	1,336.97[2]
Ending price, index	€	1,209.19[3]	1,209.19[5]
Change	%	11.1	–9.6
Cumulative dividend	€	4.70	3.40
TSR factor	%	132.1	122.2
Outperformance factor	%	111.0	125.4
CO_2 facor	%	170.3	146.0
Payout factor	%	166.2	159.5

[1] November/December 2020.
[2] November/December 2021.
[3] November/December 2024.
[4] Fixed at the offer price.
[5] Fixed at the average for November/December 2024.

The dividend payments for individual years can be accessed on Covestro’s website.

→ For further information, please refer to: www.covestro.com/en/investors/stock-performance/dividends

The amounts calculated for these two tranches, including those for former Board of Management members Sucheta Govil and Dr. Klaus Schäfer, are shown in the following table.

Payout amounts for 2021–2024 and 2022–2025 Prisma tranches

	2021–2024 Prisma tranche		2022–2025 Prisma tranche	
	Target value[1]	Payout in April 2025 (payout factor 166.2%)	Target value[1]	Payout in March 2026 (payout factor 159.5%)
	€ thousand	€ thousand	€ thousand	€ thousand
Dr. Markus Steilemann	1,585	2,634	1,620	2,584
Christian Baier[2]	–	–	–	–
Monique Buch[3]	–	–		
Dr. Thorsten Dreier[4]	45	75	124	198
Sucheta Govil[5]	798	1,327	816	1,302
Dr. Klaus Schäfer[6]	798	1,327	816	1,302

1 The target value is based on the position and the corresponding fixed compensation of the respective Board Member at the beginning of each tranche.
2 Member of the Board of Management since October 1, 2023.
3 Member of the Board of Management since June 1, 2025.
4 Member of the Board of Management since July 1, 2023; previously Head of the Coatings & Adhesives Business Unit.
5 Member of the Board of Management until July 31, 2025.
6 Member of the Board of Management until June 30, 2023.

Compliance with Maximum Compensation Limit

The maximum total compensation defined in the compensation system and specified in individual Board of Management contracts comprises fixed compensation, fringe benefits, and pension expense for the fiscal year, as well as the amounts of variable compensation components granted in the fiscal year concerned. Below is a summary of the corresponding amounts listed in the Annual Report for the year 2022 and the amounts to be paid out for the 2022–2025 Prisma tranche. For none of the Board of Management members listed does the total exceed the specified maximum compensation of €9.0 million (CEO) or €5.5 million (ordinary Board of Management members).

Compensation for fiscal year 2022 (composition of the Board of Management at the time)

	Fixed annual compensation	Fringe benefits	Short-term variable compensation	Service cost	Long-term variable compensation 2022-2025 Prisma tranche	Total
	€ thousand	€ thousand	€ thousand	€ thousand	€ thousand	€ thousand
Dr. Markus Steilemann	1,246	27	–	835	2,584	4,692
Sucheta Govil[1]	628	30	–	248	1,302	2,208
Dr. Klaus Schäfer[2]	628	25	–	348	1,302	2,303
Dr. Thomas Toepfer[3]	762	26	–	330	–	1,118

1 Member of the Board of Management until July 31, 2025.
2 Member of the Board of Management until June 30, 2023.
3 Member of the Board of Management until August 31, 2023.

Overview of Current Prisma Tranches

The three currently running Prisma tranches with their starting prices and fair values calculated as of the reporting date are explained below.

Against the background of the takeover by ADNOC International Germany Holding AG, it no longer seems appropriate to continue to determine fair value using the market value of the respective tranche determined with a Monte Carlo simulation. Instead, the price of Covestro shares has been fixed at the offer price of €62 and the STOXX Europe 600 Chemicals has been set at the closing level of the 2021–2024 tranche (average of the trading days in November and December 2024). The metrics of the sustainability component apply unchanged; they are used according to the plan terms and conditions on the basis of target attainment as of the end of the tranche for calculating the payout.

The two sustainability criteria relating to the “Social” aspect, the participation rate for the regularly held employee survey and the recordable incident rate (RIR), will only be reflected in the payouts from the 2024–2027 and 2025–2028 Prisma tranches, which will be determined in the years 2027 and 2028. Since the current status of these metrics does not permit any forecast for the year 2027 or 2028, both payout factors for calculating fair value are set to 100%.

Current Prisma tranches

<table>
<tr><th></th><th></th><th>2023–2026 Prisma tranche</th><th>2024–2027 Prisma tranche</th><th>2025–2028 Prisma tranche</th></tr>
<tr><td>Covestro share</td><td></td><td></td><td></td><td></td></tr>
<tr><td>Starting price</td><td>€</td><td>36.40</td><td>49.76</td><td>n/a</td></tr>
<tr><td>Ending price (offer price)</td><td>€</td><td colspan="2">62.00</td><td>n/a</td></tr>
<tr><td>STOXX Europe 600 Chemicals</td><td></td><td></td><td></td><td></td></tr>
<tr><td>Starting price</td><td>€</td><td>1,183.59</td><td>1,226.08</td><td>n/a</td></tr>
<tr><td>Average November/December 2024</td><td>€</td><td colspan="2">1,209.19</td><td>n/a</td></tr>
<tr><td>CVA factor[1]</td><td>%</td><td>n/a</td><td>n/a</td><td>164.6</td></tr>
<tr><td>ESG components</td><td></td><td></td><td></td><td></td></tr>
<tr><td>CO_2factor[2]</td><td>%</td><td>138.0</td><td>68.0</td><td>42.0</td></tr>
<tr><td>Participation factor</td><td>%</td><td>n/a</td><td>100.0</td><td>100.0</td></tr>
<tr><td>RIR factor</td><td>%</td><td>n/a</td><td>100.0</td><td>100.0</td></tr>
<tr><td>Fair value, December 2025</td><td>%</td><td>196.2</td><td>137.9</td><td>131.2</td></tr>
</table>

1 The CVA factor introduced with the 2025–2028 tranche is based on the projected business plan for the year 2028.

2 The figures used for the CO_2 factors introduced are based on the emission values forecast in October 2025 for the respective final years of the individual tranches.

Share Ownership Guidelines

As a rule, the members of the Board of Management were contractually obligated to acquire Covestro shares equivalent to 100% of the fixed compensation (as set at the start of their term) on their own account within three years of their initial appointment and to hold these shares for the duration of their service on the Board of Management. If their contracts were extended, this obligation was increased to the amount of the new fixed compensation. The Board of Management member in question had to acquire Covestro shares equivalent to the difference within four years of starting the new period of service.

On the basis of the takeover offer, whose acceptance the Board of Management and Supervisory Board had jointly recommended to shareholders, the Supervisory Board has decided to remove, until further notice, the obligations on Board of Management members in order to enable them to transfer the shares they hold in the company as part of the takeover offer. The share ownership guidelines will finally cease to apply upon completion of the takeover.

Malus and Clawback Clauses

According to the malus and clawback rules introduced in the year 2021, the Supervisory Board can withhold short-term and/or long-term variable compensation or request the return of variable compensation already paid out, either in whole or in part, at its discretion in the event of serious breaches of duty or compliance violations. Moreover, a clawback is possible when the calculation and payout was based on incorrect data.

The Supervisory Board has not exercised the right to claw back variable compensation, because no circumstances arose either before or during the reporting year 2025 that would have triggered this provision.

Benefits Associated with Ending Board of Management Service

If the term of Board of Management service is terminated early without good cause, the company fulfills its commitments up to the time the member leaves the company. In this case, payments to the Board of Management member, including fringe benefits, may not exceed two times annual compensation and may not compensate more than the remaining term of the service contract (severance cap). Outstanding variable compensation components are paid out at the originally agreed times and conditions, i.e., they are not paid out in advance.

In the event of a change of control that results in a material change of status of an individual Board of Management member – e.g., change in company strategy or change in the Board of Management’s job responsibilities – the Board of Management member has the right to terminate the service contract within 12 months of the change of control. When this right of termination is exercised or if the employment relationship is ended by mutual agreement on the company’s initiative within 12 months of the change of control, the Board of Management member is entitled to payment of severance of 2.5 times the fixed annual compensation. The amount of the severance payments, including fringe benefits, is limited to the remaining compensation up to the expiration of the service contract and is subject to the severance cap.

Due to the existence of the takeover offer by ADNOC International Germany Holding AG, no such clauses were included in the Board of Management contract of Monique Buch (since June 2025) and in the future contract of Dr. Thorsten Dreier (reappointed from July 2026).

Third-Party Benefits

In the reporting year, the Board of Management members were not promised nor did they receive, any benefits from third parties for their activities on the Board of Management.

Board of Management Compensation in the Fiscal Year

Compensation Awarded and Due

The compensation for the fiscal year awarded and due is outlined below in accordance with Section 162, Paragraph 1 AktG. The amounts of short-term and long-term variable compensation are given for the fiscal year in which the activity for which the compensation is paid was performed in full.

Even if the pension expense for the company pension plan is not classified as compensation awarded and due within the meaning of Section 162 AktG, to ensure transparency, we additionally disclose the pension service cost according to IFRSs in the table below.

Compensation awarded and due to current Board of Management members (AktG)[1]

	Dr. Markus Steilemann (Chair)				Christian Baier (Finance)				Monique Buch (Sales and Marketing) since June 1, 2025				Dr. Thorsten Dreier (Technology and Labor Director)			
	2024		2025		2024		2025		2024		2025		2024		2025	
	€ thousand	%	€ thousand	%	€ thousand	%	€ thousand	%	€ thousand	%	€ thousand	%	€ thousand	%	€ thousand	%
Fixed annual compensation	1,296	28.9	1,315	33.5	850	71.6	862	100.0			390	96.1	653	65.8	662	77.3
Fringe benefits[2]	39	0.9	30	0.8	–	0.0	–	0.0			16	3.9	5	0.5	(4)	–0.5
Total	1,335	29.8	1,345	34.2	850	71.6	862	100.0	–	0.0	406	100.0	658	66.3	658	76.9
Short-term variable compensation																
for fiscal 2024	513	11.4			337	28.4							259	26.1		
for fiscal 2025			–	0.0			–	0.0			–	0.0			–	0.0
Long-term variable compensation																
2021–2024 Prisma tranche	2,634	58.8											75	7.6		
2022–2025 Prisma tranche			2,584	65.8											198	23.1
Total compensation awarded and due pursuant to section 162 AktG	4,482	100.0	3,929	100.0	1,187	100.0	862	100.0	–	0.0	406	100.0	992	100.0	856	100.0
Service cost[3]	531		512		391		375				157		290		280	
Total compensation (including service cost)	5,013		4,441		1,578		1,237		–		563		1,282		1,136	

[1] Due to rounding, percentages may not always add up to exactly 100%.

[2] The negative amount listed for Mr. Dreier relates to the correction of a payment in error, which had been instructed on the basis of a supposed entitlement under the employment contract prior to his appointment to the Board of Management. This error was corrected and the amount transferred back.

[3] Including Board of Management members' own contributions derived from deferred fixed compensation.

Prisma Long-Term Variable Compensation

The fair value at the grant date of the long-term variable compensation (2025–2028 Prisma tranche) for current members of the Board of Management is €4,278 thousand (previous year: €3,939 thousand for the 2024–2027 Prisma tranche).

Provisions amounting to €15,368 thousand (previous year: €14,370 thousand) were recognized as of December 31, 2025 for all current tranches of long-term variable compensation in which active and former Board of Management members participate, of which €5,221 thousand (previous year: €2,699 thousand) was recognized for former Board of Management members.

Long-term variable compensation (IFRSs)

	Current Board of Management members									
	Dr. Markus Steilemann (Chair)		Christian Baier (Finance)		Monique Buch (Sales and Marketing)		Dr. Thorsten Dreier (Technology and Labor Director)		Total	
	2024	2025	2024	2025	2024	2025	2024	2025	2024	2025
	€ thousand	€ thousand	€ thousand	€ thousand	€ thousand	€ thousand	€ thousand	€ thousand	€ thousand	€ thousand
Total expenses/income in the reporting period for long-term variable compensation	3,831	2,659	560	916	–	109	725	902	5,116	4,586

Long-term variable compensation (IFRSs)

	Former Board of Management members					
	Sucheta Govil		Dr. Klaus Schäfer		Total	
	2024	2025	2024	2025	2024	2025
	€ thousand	€ thousand	€ thousand	€ thousand	€ thousand	€ thousand
Total expenses/income in the reporting period for long-term variable compensation	1,930	1,223	1,364	550	3,294	1,773

Pension Entitlements

The current pension service cost for the members of the Board of Management recognized through profit or loss in the reporting year totaled €1,492 thousand (previous year: €1,476 thousand) according to IFRSs. The service cost depends on the actuarial assumptions made, in particular the relevant discount rate. The contributions to pension commitments actually made are recognized as cash outflows in the operating cash flow. The service cost, present value of the pension obligations, and contributions made in accordance with pension plan rules are shown in the table below.

Pension entitlements (IFRSs)

	Service cost for pension entitlements earned in the respective year		Present value of defined pension obligation as of Dec. 31		Actual contribution made in the respective year in accordance with the pension plan	
	2024	2025	2024	2025	2024	2025
	€ thousand	€ thousand	€ thousand	€ thousand	€ thousand	€ thousand
Dr. Markus Steilemann	531	512	4,618	4,527	405	410
Christian Baier	391	375	509	885	276	278
Monique Buch	–	157	–	176	–	122
Dr. Thorsten Dreier	290	280	1,464	1,611	205	207
Sucheta Govil	264	168	1,369	1,416	205	120
Total	1,476	1,492	7,960	8,615	1,091	1,137

Compensation of Former Members of the Board of Management

The compensation awarded and due to former Board of Management members for the fiscal year is outlined below in accordance with Section 162, Paragraph 1 AktG.

Compensation awarded and due to former Board of Management members (AktG)[1]

	Sucheta Govil (until July 31, 2025)				Dr. Klaus Schäfer (until June 30, 2023)				Patrick Thomas (until May 31, 2018)			
	2024		2025		2024		2025		2024		2025	
	€ thou-sand	%	€ thou-sand	%	€ thou-sand	%	€ thou-sand	%	€ thou-sand	%	€ thou-sand	%
Fixed annual compensation	653	28.7	384	19.4								
Fringe benefits[2]	35	1.5	287	14.5								
Pensions[3]		0.0		0.0	303	18.6	241	15.6	287	100.0	290	100.0
Total	688	30.3	671	34.0	303	18.6	241	15.6	287	100.0	290	100.0
Short-term variable compensation												
for fiscal 2024	259	11.4			–	0.0						
for fiscal 2025			–	0.0			–	0.0				
Long-term variable compensation												
2021–2024 Prisma tranche	1,327	58.4			1,327	81.4						
2022–2025 Prisma tranche			1,302	66.0			1,302	84.4				
Total compensation awarded and due pursuant to section 162 AktG	2,274	100.0	1,973	100.0	1,630	100.0	1,543	100.0	287	100.0	290	100.0
Service cost[4]	264		168		–		–		–		–	
Total compensation (including service cost)	2,538		2,141		1,630		1,543		287		290	

[1] Due to rounding, percentages may not always add up to exactly 100%.
[2] The amount listed for Ms. Govil relates to compensation for her post-contractual noncompete agreement.
[3] The figure disclosed for Dr. Klaus Schäfer for the year 2024 includes one-time payments of €64 thousand. The entitlements had been funded by Dr. Schäfer himself before he was appointed to the Board of Management.
[4] Including Board of Management members' own contributions derived from deferred fixed compensation.

A provision of €11,976 thousand (previous year: €11,727 thousand) is recognized in the Consolidated Financial Statements as of December 31, 2025, for current pensions for former Board of Management members. The settlement value of direct and indirect pension obligations in the Financial Statements of Covestro AG amounted to €15,289 thousand (previous year: €14,405 thousand).

Compensation of the Supervisory Board

Compensation System of the Supervisory Board

The compensation of the Supervisory Board is in line with the provisions of the Articles of Incorporation, which were approved by the Annual General Meeting (AGM) on April 21, 2022 with a majority of 99.30%.

The members of the Supervisory Board each receive fixed annual compensation of €120 thousand plus reimbursement of their expenses.

In accordance with the recommendations of the GCGC, additional compensation is paid to the Supervisory Board Chair and Vice Chair, and for chairing and membership in committees. The Supervisory Board Chair receives fixed compensation of €360 thousand, while €240 thousand is paid to the Vice Chair. This compensation includes chairmanship of and membership in committees. The other members of the Supervisory Board are entitled to additional compensation for membership in or chairmanship of committees. The Chair of the Audit Committee receives an additional €90 thousand, the other members of the Audit Committee €45 thousand each. The Chairs of the Presidial and Nominations Committees receive €30 thousand each, while members of these two committees receive €15 thousand each. Additional compensation of €60 thousand is paid to the chairs of other committees and of €30 thousand to all other committee members. Work on committees is eligible for compensation for no more than three committees. If this cap is exceeded, compensation is paid for the three highest paid positions. If changes are made to the Supervisory Board and/or its committees during the year, members receive compensation on a prorated basis. The members of the Supervisory Board also receive an attendance fee of €1 thousand each time they attend a meeting of the Supervisory Board or a committee. Attendance at a meeting is also considered to be participation by telephone or video conference or using other comparable customary means of telecommunication. The attendance fee is limited to €1 thousand per day.

→ For further information, please refer to “Report of the Supervisory Board” in Capital Market.

Compensation of the Supervisory Board for the Fiscal Year

The following table outlines the components of each Covestro AG Supervisory Board member’s compensation for the reporting period 2025 and the prior-year period:

Compensation of the members of the Supervisory Board of Covestro AG

	Fixed compensation		Attendance fee		Total	
	2024	2025	2024	2025	2024	2025
	€ thousand	€ thousand	€ thousand	€ thousand	€ thousand	€ thousand
Mercedes Alonso Benito (since December 2025)		1		–		1
Dr. Christine Bortenlänger	165	184	14	10	179	194
Dr. Christoph Gürtler	180	180	16	10	196	190
Oliver Heinrich (since May 2024)	80	145	7	9	87	154
Guy Janssens (since December 2025)		1		–		1
Lise Kingo (until December 2025)	180	174	14	8	194	182
Petra Kronen (Vice Chair) until December 2024	240	–	20	–	260	–
Irena Küstner	165	178	14	9	179	187
Frank Löllgen (Vice Chair)	161	231	16	10	177	241
Dr. Richard Pott (until December 2025) (Chair)	360	348	18	7	378	355
Petra Reinbold-Knape (until April 2024)	53	–	7	–	60	–
Khaled Salmeen (since December 2025)		1		–		1
Dr. Sven Schneider (until September 2025)	210	141	13	6	223	147
Dr. Rainer Seele (since December 2025)		15		1		16
Kerstin Spendel (since February 2025)		141		9		150
Regine Stachelhaus (until December 2025)	180	174	18	6	198	180
Marc Stothfang	150	150	15	6	165	156
Patrick Thomas	210	210	17	13	227	223
Total	2,334	2,274	189	104	2,523	2,378

In addition to their compensation as members of the Supervisory Board, those employee representatives who are employees of Covestro Group companies receive compensation unrelated to their service on the Supervisory Board. The total amount of such compensation paid to the employee representatives was €653 thousand in the year 2025 (previous year: €671 thousand).

No compensation was paid or benefits granted to members of the Supervisory Board for personally performed services such as consulting or agency services. The company has purchased insurance for the members of the Supervisory Board to cover their personal liability arising from their service on the Supervisory Board. The recommendation for a deductible has been eliminated from the version of the GCGC dated December 16, 2019, so the Supervisory Board's rules of procedure were amended accordingly in the subsequent year. No deductible for liability insurance has applied since then.

Comparative Presentation of Annual Changes in Compensation and Earnings

The following is the presentation of the annual changes in compensation awarded and due to current and former Board of Management and Supervisory Board members compared with the company's earnings performance and the average compensation of employees (FTEs) from fiscal years 2021 to 2025 as required by Section 162, Paragraph 1, Sentence 2, No. 2 AktG.

Five-year comparison of compensation awarded and due to Board of Management members (AktG)[1]

	2021	2022		2023		2024		2025	
	€ thousand	€ thousand	%	€ thousand	%	€ thousand	%	€ thousand	%
Board of Management members as of December 31, 2025									
Dr. Markus Steilemann (Chair)	4,285	1,691	–60.5	3,857	128.1	4,482	16.2	3,929	–12.3
Christian Baier (since October 1, 2023)				320		1,187	270.9	862	–27.4
Dr. Thorsten Dreier (since July 1, 2023)				593		992	65.3	856	–13.7
Monique Buch (since June 1, 2025)								406	
Former Board of Management members									
Sucheta Govil (until July 31, 2025)	2,108	746	–64.6	1,957	162.3	2,274	16.2	1,973	–13.2
Dr. Thomas Toepfer (until August 31, 2023)	2,719	1,044	–61.6	808	–22.6				
Dr. Klaus Schäfer (until June 30, 2023)	2,236	864	–61.4	1,570	81.7	1,630	3.8	1,543	–5.3
Patrick Thomas (until May 31, 2018)	202	23	–88.6	284	.	287	1.1	290	1.0
Total	11,550	4,368	–62.2	9,389	114.9	10,852	15.6	9,859	–9.2

[1] Percentage changes always refer to the change from the respective previous year.

Five-year comparison of compensation awarded and due to Supervisory Board members (AktG)[1]

	2021	2022		2023		2024		2025	
	€ thousand	€ thousand	%	€ thousand	%	€ thousand	%	€ thousand	%
Supervisory Board members as of December 31, 2025									
Mercedes Alonso Benito (since December 2025)								1	
Dr. Christine Bortenlänger	126	174	38.1	177	1.7	179	1.1	194	8.4
Dr. Christoph Gürtler (since April 2022)		134		197	47.3	196	–0.5	190	–3.1
Oliver Heinrich (since May 2024)						87		154	77.0
Guy Janssens (since December 2025)								1	
Irena Küstner	127	174	37.0	177	1.7	179	1.1	187	4.5
Frank Löllgen (since April 2022)		88		128	45.7	177	38.3	241	36.2
Khaled Salmeen (since December 2025)								1	
Dr. Rainer Seele (since December 2025)								16	
Kerstin Spendel (since February 2025)								150	
Marc Stothfang	107	156	45.8	162	3.8	165	1.9	156	–5.5
Patrick Thomas (since July 2020)	132	225	70.5	226	0.4	227	0.4	223	–1.8
Former Supervisory Board members									
Dr. Richard Pott (until December 2025)	302	368	21.9	378	2.7	378	0.0	355	–6.1
Lise Kingo (until December 2025)	84	189	125	194	2.6	194	0.0	182	–6.2
Regine Stachelhaus (until December 2025)	142	188	32.4	196	4.3	198	1.0	180	–9.1
Dr. Sven Schneider (until September 2025)		154		221	43.8	223	0.9	147	–34.1
Petra Kronen (until December 2024)	152	251	65.1	261	4.0	260	–0.4		–100.0
Petra Reinbold-Knape (until April 2024)	147	190	29.3	198	4.2	60	–69.7		–100.0
Dr. Ulrich Liman (until April 2022)	129	59	–54.5						
Prof. Dr. Rolf Nonnenmacher (until April 2022)	153	67	–56.3						
Frank Werth (until April 2022)	102	38	–62.3						
Ferdinando Falco Beccalli (until April 2021)	29								
Total	1,732	2,454	41.7	2,515	2.5	2,523	0.3	2,378	–5.7

1 Percentage changes always refer to the change from the respective previous year.

Five-year comparison of relevant performance indicators (AktG)[1]

	2021	2022		2023		2024		2025	
Net income/(loss) Covestro AG	€648 million	(€316 million)	.	(€124 million)	–60.8%	(€55 million)	–55.6%	(€137 million)	149.1%
EBITDA[2]	€3,085 million	€1,617 million	–47.6%	€1,080 million	–33.2%	€1,071 million	–0.8%	€740 million	–30.9%
Free operating cash flow[3]	€1,429 million	€138 million	–90.3%	€232 million	68.1%	€89 million	–61.6%	(€283 million)	.
ROCE[4] above WACC[5]	12.9% points	–5.0% points		–6.1% points		–7.4% points		–10.2% points	
Greenhouse gas emissions[6] (CO_2 equivalents)	€5.2 million	€4.7 million	–9.6%	4.9 million metric tons	4.3%	4.7 million metric tons	–4.1%	4.3 million metric tons	–8.5%
Core volume growth[7]	10.0%								

1 Percentage changes always refer to the change from the respective previous year.

2 Earnings before interest, taxes, depreciation and amortization (EBITDA): EBIT plus depreciation, amortization, and impairment losses; less impairment loss reversals on intangible assets and property, plant and equipment.

3 Free operating cash flow (FOCF): cash flows from operating activities less cash outflows for additions to property, plant, equipment and intangible assets.

4 Return on capital employed (ROCE): ratio of EBIT after imputed income taxes to capital employed. An imputed tax rate of 25% has been used for calculating ROCE since the year 2022 (previously: effective tax rate).

5 Weighted average cost of capital (WACC): weighted average cost of capital reflecting the expected return on the company's equity and debt capital. A figure of 7.3% has been taken into account for the year 2025 (2024: 8.1%). ROCE above WACC has been a key management indicator since the year 2022.

6 GHG emissions (Scope 1 and 2, GHG Protocol) at main production sites (responsible for more than 95% of our energy usage). From fiscal 2025 onward greenhouse gas (GHG) emissions (Scope 1 and Scope 2, GHG Protocol) of all Covestro's environmentally relevant sites.

7 Until the year 2021, core volume growth, which refers to the core products in the operational reporting segments, was a key management indicator. It is calculated as the percentage change in externally sold volumes compared with the prior year. Covestro also takes advantage of business opportunities outside its core business, for example the sale of precursors and by-products such as hydrochloric acid, sodium hydroxide solution, and styrene. These transactions are not included in core volume growth. Retroactive calculation based on the definition of the core business as of March 31 of each subsequent year.

In addition to the net income/net loss of Covestro AG (which is legally required to be reported), earnings performance also includes the key figures of the Covestro Group underlying short-term variable compensation (EBITDA, free operating cash flow, ROCE above WACC, absolute annual direct and indirect Scope 1 and Scope 2 GHG emissions (CO_2 equivalents), and core volume growth). Since the year 2022, core volume growth has been replaced by EBITDA as a key management indicator.

Employee compensation was calculated by dividing personnel expenses (wages and salaries plus social expenses and expenses for pensions and other benefits) disclosed in the Consolidated Financial Statements for the relevant period by the number of employees expressed as full-time equivalents (FTEs) as of the reporting date.

Five-year comparison of employee compensation (AktG)[1]

	2021	2022		2023		2024		2025	
Personnel expenses	€2,298 million	€1,995 million	–13.2%	€2,141 million	7.3%	€2,131 million	–0.5%	€2,025 million	–5.0%
Employees[2]	17,905 FTEs	17,981 FTEs	0.4%	17,516 FTEs	–2.6%	17,503 FTEs	–0.1%	17,598 FTEs	0.5%
Personnel expenses per FTE	€128 thousand	€111 thousand	–13.6%	€122 thousand	10.1%	€122 thousand	–0.2%	€115 thousand	–5.7%

1 Percentage changes always refer to the change from the respective previous year.

2 The number of permanent or temporary employees is stated in full-time equivalents (FTEs). Part-time employees are included on a pro-rated basis in line with their contractual working hours. Board of Management members, employees in vocational training, and interns are not included in this metric because of their special employment relationship.

Other Information

There were no advances or loans to members of the Board of Management or the Supervisory Board outstanding as of either December 31, 2024, or December 31, 2025.

Leverkusen, February 25, 2026

Covestro AG

For the Board of Management: For the Supervisory Board:

Dr. Markus Steilemann Christian Baier Dr. Rainer Seele

Independent Auditor's Report

To Covestro AG, Leverkusen,

Report on the Audit of the Compensation Report

We have audited the attached compensation report of Covestro AG, Leverkusen, for the financial year from January 1 to December 31, 2025, including the related disclosures, prepared to meet the requirements of Section 162 AktG [Aktiengesetz: German Stock Corporation Act].

The compensation report contains cross-references that are not required by law and which are marked as unaudited. We have not audited the cross-references and the information to which the cross-references refer.

Responsibilities of Management and the Supervisory Board

The management and the Supervisory Board of Covestro AG are responsible for the preparation of the compensation report, including the related disclosures, in accordance with the requirements of Section 162 AktG. The management and the Supervisory Board are also responsible for such internal control as they have determined necessary to enable the preparation of the compensation report that is free from material misstatement, whether due to fraud or error.

Auditor's Responsibilities

Our responsibility is to express an opinion on this compensation report, including the related disclosures, based on our audit. We conducted our audit in accordance with the German Generally Accepted Standards for Financial Statement Audits promulgated by the Institut der Wirtschaftsprüfer [Institute of Public Auditors in Germany] (IDW). Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the compensation report, including the related disclosures, is free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts, including the related disclosures, in the compensation report. The procedures selected depend on the auditor's professional judgement. This includes an assessment of the risks of material misstatement, whether due to fraud or error, in the compensation report, including the related disclosures. In assessing these risks, the auditor considers the internal control system relevant for the preparation of the compensation report, including the related disclosures. The objective is to plan and perform audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management and the Supervisory Board, as well as evaluating the overall presentation of the compensation report, including the related disclosures.

We believe that the evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Opinion

In our opinion, on the basis of the knowledge obtained in the audit, the compensation report for the financial year from January 1 to December 31, 2025, including the related disclosures, complies in all material respects with the financial reporting requirements of Section 162 AktG.

Our opinion on the compensation report does not extend to the cross-references, which are marked as unaudited and not required by law, and the information to which the cross-references refer.

Other matter – formal examination of the compensation report

The substantive audit of the compensation report described in this independent auditor’s report includes the formal examination of the compensation report required by Section 162 (3) AktG, including issuing an assurance report on this examination. As we have issued an unqualified opinion on the substantive audit of the compensation report, this opinion includes the conclusion that the disclosures pursuant to Section 162 (1) and (2) AktG have been made, in all material respects, in the compensation report.

Limitation of liability

The terms governing this engagement, which we fulfilled by rendering the aforesaid services to Covestro AG, are set out in the General Engagement Terms for Wirtschaftsprüferinnen, Wirtschaftsprüfer and Wirtschaftsprüfungsgesellschaften [German Public Auditors and Public Audit Firms] as amended on January 1, 2024. By taking note of and using the information as contained in this auditor’s report, each recipient confirms to have taken note of the terms and conditions laid down therein (including the limitation of liability of EUR 4 million for negligence under Clause 9 of the General Engagement Terms) and acknowledges their validity in relation to us.

Düsseldorf, February 25, 2026

KPMG AG
Wirtschaftsprüfungsgesellschaft

[Original German version signed by:]

Ufer
Wirtschaftsprüfer
[German Public Auditor]

Dr. Ackermann
Wirtschaftsprüferin
[German Public Auditor]